

USDA Foreign Agricultural Service

GAIN Report

Global Agricultural Information Network

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2017 Annual Oilseeds and Products Report.

Report Categories:

Oilseeds and Products

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Report Highlights:

Total production of rapeseed in MY 2017/18 is forecast to increase by 60 percent to 160,000 MT in comparison to record low in the last decade production in MY 2016/2017. The planted area of rapeseed in MY 2017/2018 is expected to increase by 14 percent in comparison to the previous year and amount to 80,000 hectares. Production per hectare is expected to return to an average level.

General Information:

Production

MY 2016/2017

In MY 2016/2017 (July – June) the sown area of rapeseed in Estonia remained at the previous year's level. The competition from more profitable production of wheat and reduced demand for biofuel production and a very bad crop of winter rapeseed the previous year resulted in planted area remaining unchanged. Due to very unfavorable weather conditions the average yield of rapeseed dropped from 2.76 MT per hectare in MY 2015/2016 to 1.46 MT in MY 2016/2017. The share of winter rapeseed in total sown area amounted to 35 percent as compared to 62 percent in MY 2015/2016. The reduction of share of winter rapeseed was caused by winterkill which affected plantations in December 2015. Low yields and the same acreage as the previous year resulted in a significant drop of crop, which in MY 2015/2016 amounted to 102,500 MT, almost 50 percent less than MY 2015/2016.

MY 2017/2018

It is estimated that area planted for rapeseed in MY 2017/2018 will amount to 80,000 hectares, a 14 percent increase in comparison to the previous year. Total Estonian production of rapeseed in MY 2017/18 is forecast to increase by 60 percent in comparison to MY 2016/2017 and amount to 160,000 MT. The production increase stems from an increase in yields which are expected to return to average levels after very low production per hectare in MY 2016/2017.

Production, cultivated area and yield of rapeseed

Marketing year starts in July	MY 2013/2014	MY 2014/2015	MY 2015/2016	MY 2016/2017	MY 2017/2018*
Cultivated area (000 hectares)	86	80	71	70	80
Yield (MT/hectare)	2.02	2.08	2.76	1.46	2.00
Crop (000 MT)	174	166	196	102	160

Source: Statistical Office

*FAS Warsaw estimate

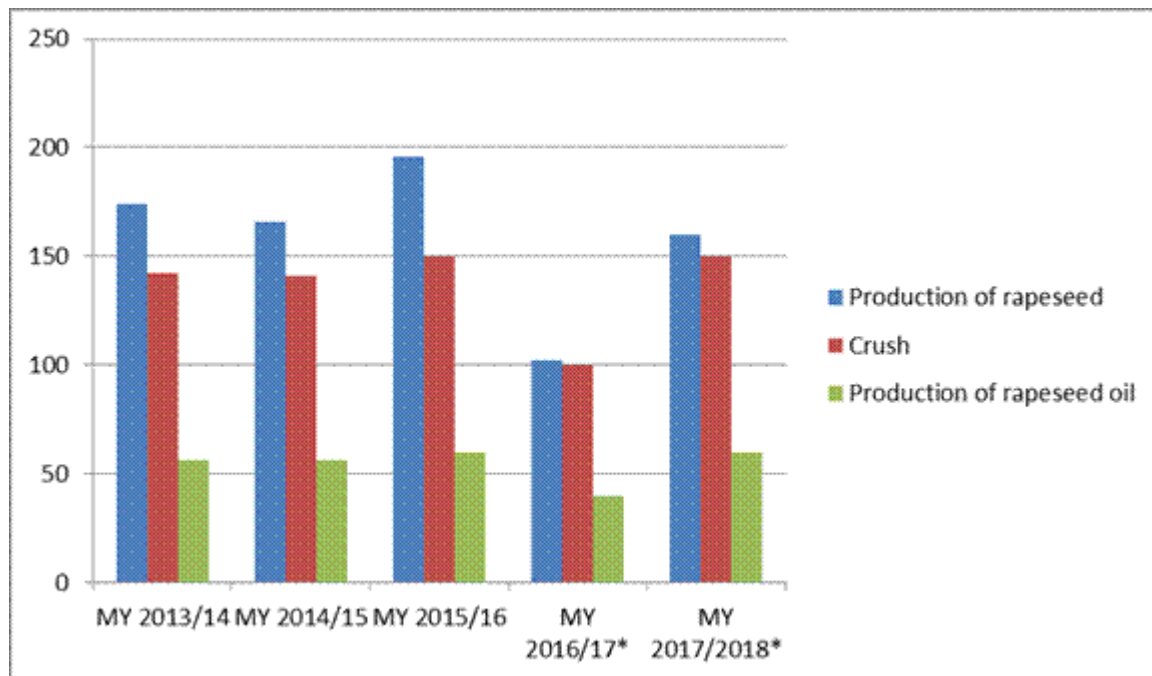
Utilization

Rapeseed oil

It is estimated that in MY 2016/2017 the rapeseed crush will amount to 100,000 MT, 50 percent lower than the previous year's. Rapeseed crush is determined by rapeseed crop and demand for oil for food consumption and the use of rapeseed meal for animal feeding. Production and consumption of rapeseed oil for food consumption remains almost constant while demand for rapeseed meal is growing due to the development of poultry and dairy production. However, the lower rapeseed crop in MY 2016/2017 adversely affected production of rapeseed oil. In MY 2017/2018 rapeseed oil output is expected to

increase by 30 percent in comparison to the previous year's level due to higher production of rapeseed and increased crush.

Production of rapeseed, crush and output of rapeseed oil (000 MT)



Source: Statistical Office

*FAS Warsaw estimate.

Rapeseed and soybean meal

In MY 2016/2017 output of rapeseed meal (a residual product in production of rapeseed oil) is estimated at 60,000 MT, a 30 percent decrease in comparison to MY 2015/2016. The expected decrease in output of rapeseed meal stems from the lower crush in MY 2016/2017 compared to MY 2015/2016. Feed use of rapeseed meal on MY 2015/2016 is estimated to decline because of lower demand from the swine industry which is severely affected by an outbreak of African Swine Fever.

Soybean meal is the primary protein feed used in poultry nutrition. The entire demand for soybean meal has to be supplied by imports. It is estimated that in MY 2016/2017 the demand for soybean meal will increase due to higher use of protein feeds by the growing poultry industry.

Trade

Rapeseed

In MY 2015/2016 Estonia exported 53,000 MT of rapeseed. All exports were destined for the European Union. Finland and Germany were the main export destinations for exports of rapeseed. In the first six months of the MY 2016/2017 (July-December) Estonia exported 8,000 MT of rapeseed, almost 70

percent less than in the same period of 2015. Reduction of exports stemmed from lower production in MY 2016/2017.

Exports of rapeseed (000 MT)

	MY 2013/2014	MY 2014/2015	MY 2015/2016	MY 2016/2017*	Jul- Dec 2016	Jul-Dec 2016/ Jul-Dec 2015 (%)
Total	64	45	53	17	8	-69
Finland	51	40	36	14	7	-58
The Netherlands	3	3	0	0	0	n/a
Germany	6	1	12	2	1	-84
Latvia	1	2	5	0	0	n/a

Source: GTA

*FAS Warsaw estimate.

In MY 2015/2016 Estonia imported 10,000 MT of rapeseed mainly from Lithuania. In MY 2016/17 rapeseed imports are expected to drop by 50 percent due to high prices.

Imports of rapeseed (000 MT)

	MY 2013/2014	MY 2014/2015	MY 2015/2016	MY 2016/2017*	Jul- Dec 2016	Jul-Dec 2016/ Jul-Dec 2015 (%)
Total	23	20	10	5	4	-54
Lithuania	4	9	8	1	1	-68
Latvia	6	8	1	3	3	-67

Source: GTA

*FAS Warsaw estimate.

Rapeseed oil

In MY 2015/2016 Estonia exported 45,000 MT of rapeseed oil. All exports were destined for the European Union. Lithuania was the main export destination for exports of rapeseed oil. In the first six months of the MY 2016/2017 (July-December) Estonia exported 22,000 MT of rapeseed, one percent less than in the same period of 2015.

Exports of rapeseed oil (000 MT)

	MY 2013/2014	MY 2014/2015	MY 2015/2016	MY 2016/2017*	Jul- Dec 2016	Jul-Dec 2016/ Jul-Dec 2015 (%)
Total	40	42	45	45	22	-1
Lithuania	18	19	19	22	10	9
Latvia	11	14	16	14	7	-5
Israel	3	3	3	4	2	18

Source: GTA

*FAS Warsaw estimate.

In MY 2015/2016 Estonia imported 3,000 MT of rapeseed oil mainly from Finland and Lithuania. In the first six months of the MY 2016/2017 (July-December) Estonia imported 5,000 MT of rapeseed oil, 162 percent more than in the same period of 2015.

Imports of rapeseed oil (000 MT)

	MY 2013/2014	MY 2014/2015	MY 2015/2016	MY 2016/2017*	Jul- Dec 2016	Jul-Dec 2016/ Jul-Dec 2015 (%)
Total	7	7	3	7	5	162
Lithuania	0	1	1	4	3	391
Latvia	1	0	0	1	1	n/a
Finland	2	2	1	1	0	-9

Source: GTA

*FAS Warsaw estimate.

Protein meals

Rapeseed meal

In MY 2015/2016 Estonia exported 40,000 MT of rapeseed meal, five percent more than the previous year. All exports were destined for the European Union. Denmark is the main export destination for exports of rapeseed meal. In the six four months of the MY 2016/2017 (July-December) Estonia exported 13,000 MT of rapeseed, 22 percent less than in the same period of 2015 due to reduced domestic production.

Exports of rapeseed meal (000 MT)

	MY 2013/2014	MY 2014/2015	MY 2015/2016	MY 2016/2017*	Jul- Dec 2016	Jul-Dec 2016/ Jul-Dec 2015 (%)
Total	33	38	40	30	13	-32
Denmark	27	29	35	26	13	-22
Norway	0	2	4	1	0	0
Lithuania	0	3	0	0	0	0
Latvia	6	3	1	0	0	0

Source: GTA

*FAS Warsaw estimate.

In MY 2015/2016 Estonia imported 20,000 MT of rapeseed meal mainly from Lithuania and Kazakhstan. In the first six months of the MY 2016/2017 (July-December) Estonia imported 14,000 MT of rapeseed meal, 27 percent more than in the same period of 2015.

Imports of rapeseed meal (000 MT)

	MY 2013/2014	MY 2014/2015	MY 2015/2016	MY 2016/2017*	Jul- Dec 2016	Jul-Dec 2016/ Jul-Dec 2015 (%)
Total	34	29	20	27	14	27
Kazakhstan	11	10	4	1	1	-71
Lithuania	1	3	8	12	5	28
Russia	3	6	0	0	0	n/a
Belarus	15	7	3	0	0	n/a

Source: GTA

*FAS Warsaw estimate.

Soybean meal

In MY 2015/2016 Estonia imported 22,000 MT of soybean meal, 12 percent less than in the previous year. The decrease of imports stems mainly reduced demand from swine industry which is on decline due to an outbreak of African Swine Fever. Most soybean meal was imported from the Netherlands, Lithuania and Latvia. The value of imports of soybean meal was U.S. \$9.3 million. In MY 2015/2016 Estonia did not import soybean meal from the United States. It is expected that in MY 2016/2017 imports of soybean meal will decline due to the continuation of the ASF crisis in swine sector.

Volume of imports of soybean meal (000 MT)

MY starts in October	MY 2012/2013	MY 2013/2014	MY 2014/2015	MY 2015/2016	MY 2015/2016*
Total	36	42	25	22	21
Lithuania	9	5	4	2	2
The Netherlands	23	23	15	12	11
Latvia	2	14	7	5	5

Source: GTA

**FAS Warsaw estimate.*

End of Report.